
ECONOMICS

Paper 4 A Level Data Response and Essays

Practice Paper 2026

MARK SCHEME

Maximum Mark: 60

(Hard Level)

This document consists of 14 printed pages.

Generic Marking Principles

These general marking principles must be applied by all examiners when marking candidate answers. They should be applied alongside the specific content of the mark scheme or generic level descriptions for a question. Each question paper and mark scheme will also comply with these marking principles.

GENERIC MARKING PRINCIPLE 1:

Marks must be awarded in line with the specific content of the mark scheme or the generic level descriptors, the specific skills defined in the mark scheme, and the standard of response required by a candidate as exemplified by the standardisation scripts.

GENERIC MARKING PRINCIPLE 2:

Marks awarded are always whole marks (not half marks, or other fractions).

GENERIC MARKING PRINCIPLE 3:

Marks must be awarded positively: marks are awarded for correct/valid answers. Marks are not deducted for errors or omissions. Credit is given for valid answers which go beyond the scope of the syllabus and mark scheme.

GENERIC MARKING PRINCIPLE 4:

Rules must be applied consistently, e.g. in situations where candidates have not followed instructions or in the application of generic level descriptors.

GENERIC MARKING PRINCIPLE 5:

Marks should be awarded using the full range of marks defined in the mark scheme for the question.

GENERIC MARKING PRINCIPLE 6:

Marks awarded are based solely on the requirements as defined in the mark scheme. Marks should not be awarded with grade thresholds or grade descriptors in mind.

Assessment objectives

AO1 Knowledge and understanding

- Show knowledge of syllabus content, recalling facts, formulae and definitions.
- Demonstrate understanding of syllabus content, giving appropriate explanations and examples.
- Apply knowledge and understanding to economic information using written, numerical and diagrammatic forms.

AO2 Analysis

- Examine economic issues and relationships, using relevant economic concepts, theories and information.
- Select, interpret and organise economic information in written, numerical and diagrammatic form.
- Use economic information to recognise patterns, relationships, causes and effects.
- Explain the impacts and consequences of changes in economic variables.

AO3 Evaluation

- Recognise assumptions and limitations of economic information and models.
- Assess economic information and the strengths and weaknesses of arguments.
- Recognise that some economic decisions involve consideration of factors such as priorities and value judgements.
- Communicate reasoned judgements, conclusions and decisions, based on the arguments.

Table A: AO1 Knowledge and understanding and AO2 Analysis

Use this table to give marks for each candidate response for AO1 Knowledge and understanding and AO2 Analysis for Questions 2, 3, 4 and 5.

Level	Description	Marks
3	- A detailed knowledge and understanding of relevant economic concepts is included, using relevant explanations supported by appropriate examples. - The response clearly addresses the requirements of the question and explains economic issues, and fully develops analysis. - Analysis is developed and detailed and makes accurate and relevant use of economic concepts and theories. Where appropriate, relevant diagrams and formulae are used. - Responses are well-organised, well-focused and presented in a logical and coherent manner.	6–10
2	- Knowledge and understanding of some relevant economic concepts is included, using explanations and examples to support the response. - The response addresses the general theme of the question with limited development. - Analysis is generally accurate with some development but little detail. Use of analytical tools is partially accurate or incomplete. - Responses are generally logical and coherent but are sometimes lacking in focus or organisation.	4–5
1	- A small number of relevant knowledge points are included and the response is limited by significant errors or omissions. - The response has little relevance to the question. - Analysis where provided is largely descriptive. Use of analytical tools such as diagrams and formulae, where necessary, is limited. - Responses show limited organisation of economic ideas.	1–3
0	No creditable response.	0

Table B: AO3 Evaluation

Use this table to give marks for each candidate response for AO3 Evaluation for Questions 2, 3, 4 and 5.

Level	Description	Marks
2	- Provides a justified conclusion or judgement that addresses the specific requirements of the question. - Makes developed, reasoned and well-supported evaluative comment(s).	4–5
1	- Provides a vague or general conclusion or judgement in relation to the question. - Makes simple evaluative comment(s) with no development and little supporting evidence.	1–3
0	No creditable response.	0

Question	Answer	Marks
1(a)	Explain the significance of the terms of trade index for a country. Terms of trade = (index of export prices / index of import prices) × 100 (1). A rise (improvement) means a country can purchase more imports per unit of exports (1). Indicates changes in real purchasing power of exports / standard of living implications (1). Helps explain movements in the current account / international competitiveness (1). <i>Award up to 3 marks.</i>	3

Question	Answer	Marks
1(b)	Explain one possible benefit of trade liberalisation and one possible drawback of trade liberalisation. Benefit (1) + Development (1): e.g. lower prices and greater variety for consumers; access to larger markets exploiting comparative advantage; increased competition driving productive efficiency; technology transfer through trade and investment; increased growth and employment in export sectors. Drawback (1) + Development (1): e.g. structural unemployment in declining sectors; threat to infant industries; loss of tariff revenue (significant for many LICs); exposure to volatile world prices; widening inequality as gains are concentrated; vulnerability to external shocks transmitted through trade. <i>Max 2 marks for benefit; Max 2 marks for drawback.</i>	4

Question	Answer	Marks
1(c)	Describe how the market structure for branded smartphones is likely to differ from the market structure for the supply of rare-earth elements. Branded smartphones: oligopoly (1) — top three firms have ~53% of market (1), high barriers to entry through brand loyalty, intellectual property and economies of scale (1), product differentiation (1), interdependent pricing and non-price competition (1), abnormal profit in long run (1). <i>Max 3 marks.</i> Rare-earth elements: near-monopoly / dominant firm market (1) — China supplies 60% of mining and 85% of refining (1), very high barriers to entry due to mineral deposits, capital and environmental costs (1), homogeneous product so no differentiation (1), price-maker position with international supply implications (1). <i>Max 3 marks.</i> <i>Market structure must be correctly identified to earn explanation marks.</i>	6

Question	Answer	Marks
1(d)	Use the article to evaluate the impact of participation in global value chains on economic development in low-income countries. Definition of economic development: distinct from growth; broader concept including income, education, health, equity and reduction in poverty (1) (1). <i>Max 2.</i> Data interpretation (Max 4): Positive effects: Vietnam's high-tech exports tripled from \$44bn to \$135bn (1); Vietnam's real GDP per capita more than doubled 2010–2022 (1); India's PLI scheme attracting incremental investment (1); employment creation in manufacturing (1). <i>Max 2.</i> Negative/limiting effects: only \$8 of \$999 retail value captured by assembly workers (1); large share of value retained by HQ-economy brand owners (\$283/999) (1); risk of "lock-in" at low value-added stages (1); narrow specialisation (Bangladesh 84% garments) creates vulnerability (1); re-shoring/friend-shoring threatens future participation (1). <i>Max 2.</i> Conclusion (1): GVC participation has clearly contributed to growth and income gains in LICs, but the development benefits are constrained by the small share of value added captured at the assembly stage. Sustained development requires upgrading to higher value-added activities (R&D, design, branding), supported by complementary investments in education and institutions.	7

Section B

Question	Answer	Marks
2	Evaluate, with the help of diagram(s), the extent to which the kinked demand curve model accurately predicts the behaviour of firms in oligopoly. AO1 Knowledge and understanding and AO2 Analysis (out of 14) • Definition of oligopoly: few firms, high barriers to entry, interdependence, product differentiation, non-price competition. • Kinked demand curve diagram: demand curve elastic above current price P (rivals do not match price rises) and inelastic below P (rivals match price cuts). Resulting discontinuity in MR. • Prediction: price rigidity even when MC shifts within the discontinuous portion of MR; firms prefer non-price competition. • Alternative oligopoly models for comparison: dominant-firm price leadership, collusive (cartel) outcome, game theory / prisoner's dilemma. • Real-world examples of price stickiness (e.g. petrol pricing, supermarket products). AO3 Evaluation (out of 6) • Strength: explains observed price rigidity better than perfect competition or monopoly models. • Strength: highlights interdependence as central to oligopolistic behaviour. • Weakness: does not explain how the initial price is set ("kink at P, but where does P come from?"). • Empirical evidence (Stigler) finds little support for the asymmetric reaction assumption. • Game-theoretic and collusive models often better explain observed pricing. • Model ignores cost factors (e.g. menu costs) that can also explain rigid prices. • Reasoned conclusion: useful as a partial model of behaviour but limited; should be used alongside other oligopoly theories. <i>Accept all valid responses.</i>	20

Question	Answer	Marks
3	Assess the extent to which information failure justifies government intervention in the market for healthcare. AO1 Knowledge and understanding and AO2 Analysis (out of 14) • Definition of information failure: consumers and/or producers lack the information needed to make rational decisions. • Forms of information failure in healthcare: asymmetric information (doctor knows more than patient), supplier-induced demand, complexity of medical information, behavioural biases. • Other relevant market failures linked to healthcare: positive externalities (vaccinations), merit good characteristics, public good elements (epidemic control). • Diagram(s): $MSB > MPB$ for healthcare consumption — free-market output below socially optimal level, with welfare loss triangle. • Forms of intervention: public provision (NHS-style), subsidies, regulation of providers, licensing, mandatory insurance, public health information campaigns. AO3 Evaluation (out of 6) • Strength of case for intervention: information asymmetry can lead to adverse selection (insurance) and moral hazard. • Risk of government failure — bureaucracy, rationing through waiting lists, political capture. • Alternative: better-functioning private insurance with strong regulation rather than direct provision. • Opportunity cost of public healthcare spending. • Effectiveness depends on the design of intervention (e.g. nudge policies vs. mandates). • Equity considerations: even efficient private markets may exclude low-income groups. • Reasoned conclusion: information failure alone is a necessary but not sufficient justification; combined with equity, externalities and merit-good arguments, intervention is generally justified, though the optimal form varies by country. <i>Accept all valid responses.</i>	20

Section C

Question	Answer	Marks
4	Evaluate the view that supply-side policies are more effective than demand-side policies in promoting long-term economic growth. AO1 Knowledge and understanding and AO2 Analysis (out of 14) • Definition of long-term (potential) growth vs. short-term (actual) growth. • Supply-side policies: market-based (tax reform, deregulation, labour market reform, privatisation) and interventionist (education, infrastructure, R&D, healthcare). • Demand-side policies: fiscal and monetary policy operating through AD. • AD/AS diagram(s): – Demand-side: rightward shift of AD, raising output along the AS curve. At full employment, inflationary pressure only. – Supply-side: rightward shift of LRAS, raising output without inflationary pressure. • PPC outward shift for long-term growth. • Examples: post-war German reconstruction; East Asian "tigers"; UK deregulation in the 1980s. AO3 Evaluation (out of 6) • Supply-side policies have long implementation lags — education and R&D effects appear over decades. • Demand-side measures are needed in recession when actual output is below potential — without them, hysteresis effects can damage long-run capacity. • Some supply-side policies (e.g. tax cuts) increase inequality; politically contentious. • Market-based vs. interventionist supply-side approaches yield different distributional outcomes. • Effectiveness depends on the initial position of the economy on the AS curve. • Complementarity: demand-side stimulus can support investment that underpins long-run supply. • Reasoned conclusion: supply-side policies are more directly aimed at long-run growth but cannot be considered superior in isolation; the best growth strategy combines both. <i>Accept all valid responses.</i>	20

Question	Answer	Marks
5	Discuss whether indicators of economic development such as the Human Development Index (HDI) are more useful than GDP per capita in measuring the standard of living in a country. AO1 Knowledge and understanding and AO2 Analysis (out of 14) • Definitions: GDP per capita (real GDP / population); standard of living (material + non-material). • Limitations of GDP per capita: excludes non-marketed activity, says nothing about distribution, ignores externalities and depletion of natural capital, does not capture quality of life. • HDI: composite index of life expectancy, mean & expected years of schooling, GNI per capita (PPP, log). • Other indicators: Gini coefficient, Multidimensional Poverty Index (MPI), Genuine Progress Indicator (GPI), Inequality-adjusted HDI, OECD Better Life Index, Gender Inequality Index. • Comparison: countries with similar GDP per capita can have very different HDI ranks (e.g. resource-rich states with low education). AO3 Evaluation (out of 6) • Strengths of HDI: captures health and education, broader picture of well-being, drives policy attention to social outcomes. • Weaknesses of HDI: equal weights of components is a value judgement; ignores inequality (unless IHDI is used); excludes political freedom, environmental sustainability. • GDP per capita remains useful: widely available, comparable, correlates strongly with many development outcomes. • Both are subject to data quality issues, especially in LICs with large informal sectors. • Most useful approach is to use multiple indicators together rather than substitute one for the other. • Reasoned conclusion: HDI is generally more useful than GDP per capita as a measure of living standards because it incorporates non-monetary dimensions, but it is not a substitute for a full set of indicators including inequality and environmental sustainability. <i>Accept all valid responses.</i>	20